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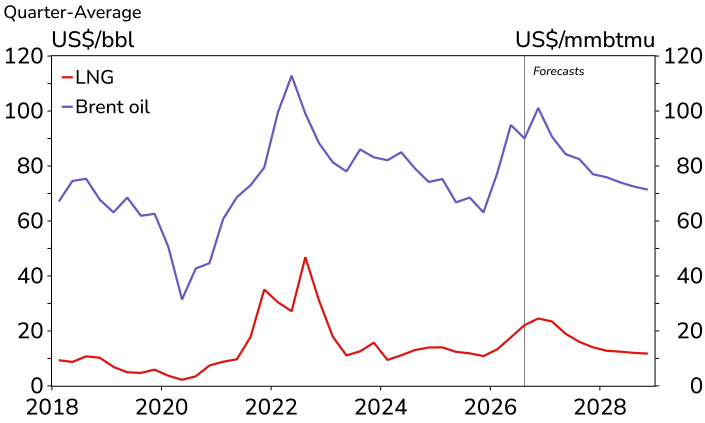
MIDDLE EAST BULLETIN

Persistent energy pressures have further to run

Key points

- Shipping disruptions, depleted inventories and elevated freight costs are keeping physical crude and fuel markets tight despite a reported recovery in Gulf exports.
- Brent is forecast to average US$101/bbl in Q4 before easing to US$77/bbl in Q4 2027.
- Refined product markets are expected to ease more slowly than crude, with elevated gasoil cracks, shipping and insurance costs slowing declines in petrol and diesel prices.
- Under an escalation scenario, renewed conflict and deeper supply disruptions could push Brent towards US$150/bbl in H1 2027, prolonging elevated fuel and LNG prices.
- Under an early resolution scenario, a durable US-Iran agreement accelerates supply recovery, taking Brent towards US$65/bbl by Q4 2027 and bringing fuel and LNG prices down faster.

Oil and LNG forecasts



Source: Bloomberg, Macrobond, Westpac Economics

Q4 2026 forecasts:
Brent crude US$101/bbl
Japanese LNG US$24.5/MMBtu

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Oil and fuel prices push higher ...

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Low inventories and higher shipping costs will keep oil and fuel prices elevated, with Brent futures forecast to average US$101/bbl in Q4 before easing to US$77/bbl by Q4 2027 as supply recovers. Refined fuels and LNG prices should ease more slowly. Risks are two-sided: escalation could push Brent towards US$150/bbl, while an early US-Iran agreement could see a faster normalisation in supply with prices returning close to pre-conflict levels by end-2027.

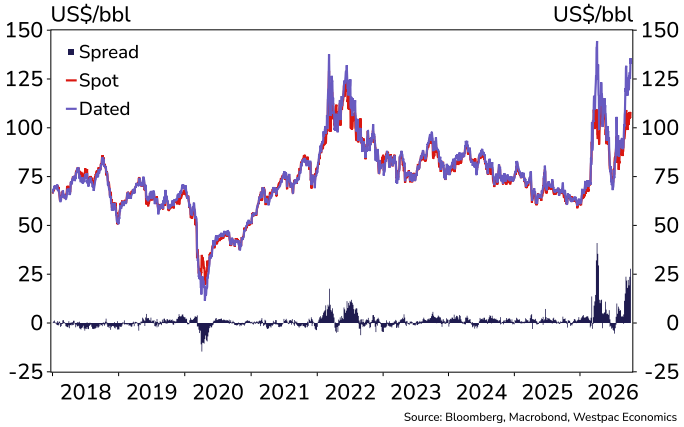
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Brent crude is back above US$100/bbl on fading confidence in a lasting US-Iran agreement and intermittent attacks on shipping. Buffers remain depleted, with the IEA estimating global observed inventories were 507mb lower at the end of August than at the start of the conflict.

This comes despite reported crude exports through the Strait of Hormuz recovering to around 70% to 90% of pre-conflict levels in late September. Saudi and UAE exports through the Yanbu and Fujairah pipelines continue, with the East-West pipeline back to normal after the early September attacks. Tanker crossings have risen, although transponders remain switched off, leaving visible transit at 1% to 4% of pre-conflict levels, while cargo transfers in the Gulf of Oman have increased as an alternative route.

However, these workarounds are slower and more costly. Ship-to-ship transfers can take 5 to 10 days, US escorts through the Gulf via a route close to the Oman shoreline cause delays while some tankers are taking longer routes. Fewer ships are also available, with many redeployed to other markets. Higher insurance premiums are adding to costs, with Gulf-to-China tanker rates above US$0.9mn a day, around 15x higher than a year ago. With prompt barrels (available for physical delivery) scarce, the gap between physical and futures prices widened again, with Dated Brent around US$136/bbl in early October against US$101/bbl for front-month futures.

Spot and Dated Brent



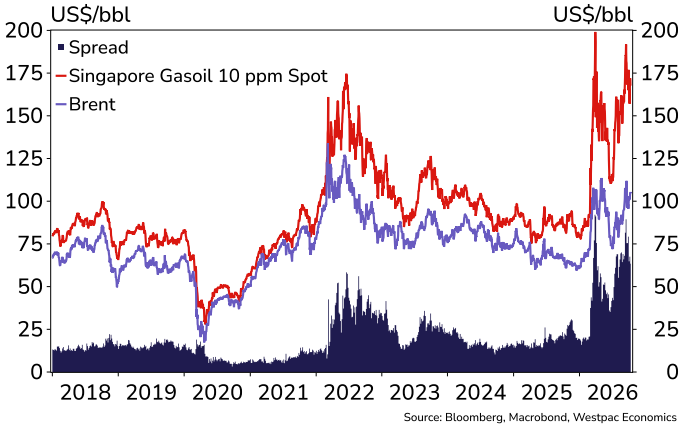
Source: Bloomberg, Macrobond, Westpac Economics

Refined prices have risen more than crude

Refined product markets were already tight going into the conflict. Reduced Gulf supply, exacerbated by Ukrainian strikes on Russian refineries, has added to that tightness. Together with higher shipping costs and rising Dated Brent prices, Singapore Gasoil 10ppm (diesel) has roughly doubled since the Strait closed, compared with around 40% for crude futures.

Consequently, Singapore gasoil crack spread widened to an average of around US$36.1/bbl in early October, from US$17.5/bbl across 2025. Alongside the Australian government's excise tax returning to normal, after it had been halved, this has lifted national diesel and petrol prices to around A$2.83/L and A$2.41/L.

Singapore gasoil crack remains elevated



Source: Bloomberg, Macrobond, Westpac Economics

Outlook

We do not see a lasting US-Iran agreement until at least mid-2027. In the meantime, we assume there will not be a return to full-scale military intervention. However, periodic Iranian attacks on ships and facilities are expected to continue, as will the US blockade of Iranian exports, keeping a supply risk premium in place. We look for Brent futures to average around US$101/bbl in Q4, then ease gradually as demand from refiners and governments to rebuild stocks partly offsets recovering supply. As the premium fades and the market moves into surplus in late 2027, we forecast Brent at around US$77/bbl in Q4 2027, easing towards US$70/bbl in 2028 as Middle East production fully recovers.

Oil balance to gradually improve over 2027

Global oil supply is expected to rise by 4.0mb/d (4.0%) to 103.7mb/d in 2027, following a 6.1% fall in 2026. Most of this reflects a gradual recovery in Gulf output, with Houthi

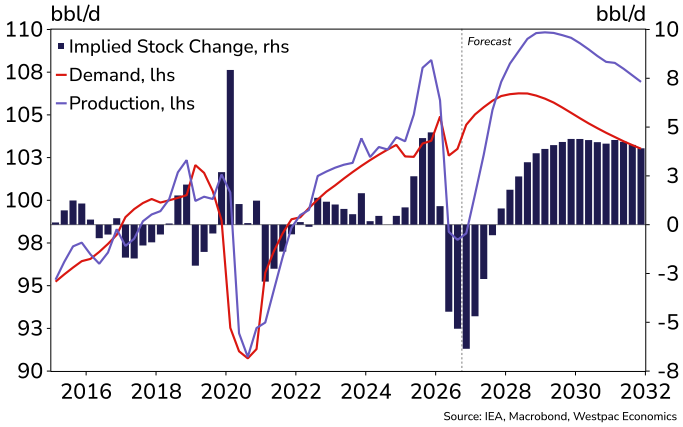
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... and risks remain and while they are two sided ...

attacks on Red Sea shipping keeping Saudi production below its pre-conflict level until H2 2027. Meanwhile, we look for UAE production to continue to improve over 2027 and lift above pre-conflict levels from 2028, as it is no longer constrained by OPEC quotas. We do not expect a meaningful return of Iranian oil until an agreement is reached, and damage sustained during the conflict means production will take time to recover.

We expect global oil demand to be 103.7mb/d in 2026, 0.8mb/d (0.7%) higher than in 2025, and to rise a further 1.9mb/d (1.8%) to 105.6mb/d in 2027. Chinese crude imports will continue to recover over the coming months as refiners restock ahead of Lunar New Year, but we expect only a gradual return to pre-conflict levels, as the electrification of transport limits the recovery in Chinese demand. Globally, demand for diesel and jet fuel recovers as transport and aviation activity picks up, although some demand destruction and efficiency gains are expected to be permanent. The conflict has also highlighted strategic vulnerabilities, particularly across Asia, so we expect a push to rebuild reserves adding around 0.5% to demand over 2027.

Oil Production and Demand



Source: IEA, Macrobond, Westpac Economics

Fuel prices to ease more slowly than crude

Refined product supply is expected to recover more slowly than crude, with Gulf refinery runs not returning to pre-war levels until at least late 2027. Outside the Gulf, there has been some constructive news. The US has lifted sanctions on Russian diesel until April 2027, with Russia saying it will supply more than 4Mt over the coming months, while China has lifted its ban on refined product exports. However, we are cautious about how much this will add to the market in the short term. Much of the Russian supply is headed to the US and will depend on Russia's ability to restore refining and export capacity, while doubts remain over the Russia-Ukraine energy ceasefire announced by President Trump. China still manages exports through quotas, which are likely to increase only gradually as domestic stocks are rebuilt. Refinery runs should lift ahead of Lunar New Year, but any increase in exports will take time to reach regional markets.

With product supply recovering slowly and depleted inventories being rebuilt, Singapore gasoil crack is likely to stay above its long-run average even as Brent eases, narrowing from US$71/bbl in Q4 to US$27/bbl by Q4 2027. With Singapore Gas 10ppm prices, shipping and insurance costs to remain elevated and easing only gradually in 2027, we forecast Australian diesel to retail at an average of 274¢/L in Q4, easing to 200¢/L in Q4 2027, and petrol at 230¢/L and 187¢/L respectively.

LNG prices supported through 2027

Japanese LNG prices surged 15.2%mth in September, averaging US$25.4/MMBtu as supply disruptions in Qatar and its inability to divert exports around the Strait of Hormuz tightened markets and intensified competition between importers. While prices are now more than double pre-conflict levels, demand destruction across Asia is providing some offset to tight supply

Our Q4 forecast for Japanese LNG is now US$24.5/mmbtu and we expect the market to remain structurally tight, with supply recovery likely to be gradual and prices not returning to pre-conflict levels until around 2028. Still, Australia's domestic gas market should remain insulated, supported by the FY2027 Federal Budget's domestic gas reservation scheme, which requires exporters to supply the domestic market with the equivalent of up to 20% of gas exports. So far this year, despite the increase in LNG spot prices in Asia, Australian natural gas prices have remained under the $12 per GJ cap that has proposed by the Commonwealth government. We are expecting this to continue well into 2027.

Risks around our oil price outlook are two-sided

Talks are still ongoing in the background, with the US and Iran exchanging proposals to reopen the Strait, but the gap between them remains wide. The conflict has also expanded to the Red Sea and, with inventories sharply drawn down, there is a smaller buffer to absorb a further shock.

Using the Oxford Economics model, we assess an escalation scenario, where energy markets face a deeper and more persistent disruption as the conflict in the Middle East intensifies. In this case, Brent futures rise to around US$150/bbl in H1 2027, only dipping to below US$100/bbl in Q2 2028. We also consider an early resolution scenario, where shipping and Gulf supply normalise faster, returning Brent to near pre-conflict levels by end-2027.

Escalation scenario

In the escalation scenario we assume:

Talks stall and the conflict escalates: the gap between the US and Iran proves too wide and the US resumes strikes after the midterms. Iran responds with attacks on shipping and Gulf energy infrastructure, damaging export, storage and refining facilities. A lasting agreement is not reached until 2028.

Export routes are disrupted: more frequent attacks curtail dark crossings of the Strait and ship-to-ship transfers in the Gulf of Oman. Houthi attacks also cut off Saudi alternative routes, forcing Gulf producers to cut output and Middle East crude exports sharply lower. New routes and shipping arrangements eventually support a recovery in Gulf flows, but trade patterns take time to adjust.

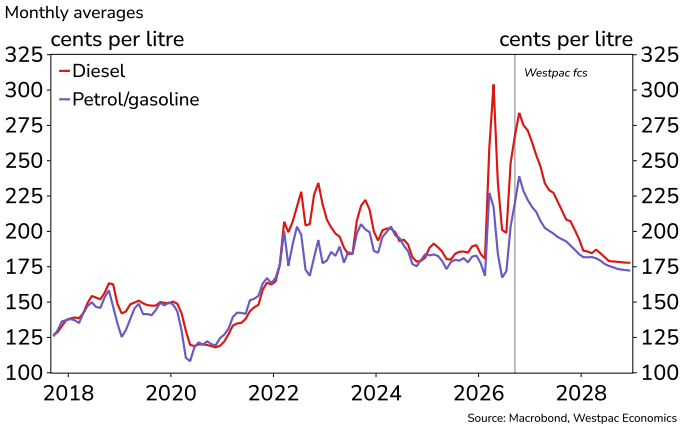
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... the upside presents a more dramatic shift in prices

Product supply fails to recover: The Russia–Ukraine energy ceasefire does not hold and strikes on Russian refineries continue, limiting how much diesel Russia can export, even with the US sanctions waiver extended. China also reintroduces its export ban to protect domestic supply.

Oil prices lift to around US$150/bbl in H1 2027: With little buffer to absorb the supply loss, competition for physical delivery intensifies, with physical prices well above futures as prompt barrels remain scarce. Higher prices support supply growth outside OPEC and drive demand destruction, alongside further emergency stock releases, but a deeper and more prolonged global deficit remains. Brent stays above US$100/bbl until mid-2028 as governments rebuild reserves.

Australian pump prices for auto fuel



The Singapore gasoil crack widens and, with freight and insurance costs also higher, Australian diesel and petrol prices average around 247 cpl and 231 cpl at end 2027. Japanese LNG also remains elevated around US$23.2/MMBtu in Q4 2027, $9.1 above our baseline.

Early resolution scenario

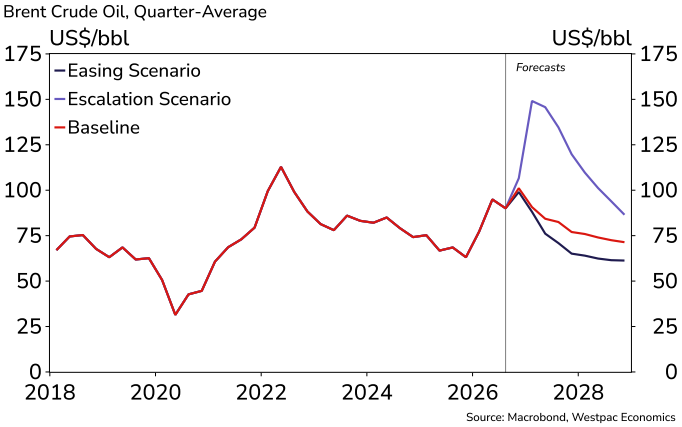
In the early resolution scenario we assume:

A durable agreement: The US and Iran agree terms to reopen the Strait by the end of year, and, unlike the June interim deal, the agreement holds, with progress towards a permanent settlement in early 2027. Attacks on shipping cease and the US blockade is lifted, allowing Iranian oil back into the market, initially from storage. Vessels are quickly repositioned to the Gulf, with freight and war-risk insurance easing from early 2027 rather than mid-year.

A faster recovery in supply: With export routes secure, Gulf production and damaged refinery and export capacity recover sooner than in the baseline. Outside the Gulf, the US extends its waiver on Russian diesel beyond April 2027 and China raises export quotas as domestic stocks are rebuilt.

Demand settles below pre-conflict trend: Some demand destruction and efficiency gains persist, particularly in China. With inventories rebuilding faster, government restocking is smaller and more gradual than in the baseline.

Oil Price Scenarios



Prices fall quickly, but restocking provides a floor: Brent Brent futures ease to around US$88/bbl in Q1 2027 as the premium for prompt physical barrels unwinds. As the market moves into balance, Brent eases to around US$65/bbl by Q4 2027, close to pre-conflict levels.

Refined product prices ease faster on lower freight costs with the Singapore gasoil crack narrowing. Australian diesel and petrol prices fall to around 182 cpl and 170 cpl by Q4 2027. Gas markets also ease, although damage to Qatar's gas facility means export capacity recovers gradually. Japanese LNG falls to around US$11.9/MMBtu by end-2027, $2.1 below our baseline.

Economic impact

In the escalation scenario, higher fuel costs flow through to transport, food and other energy-intensive goods such as plastics and fertilisers. Australian headline CPI remains above 4.5% for much of 2027, with underlying inflation remaining sticky at above 3% until late 2028. The RBA faces a difficult trade off between much higher inflation and a significant hit to activity, as households cut discretionary spending and businesses defer investment. Higher LNG export earnings provide only a moderate offset. In the early resolution scenario, headline inflation is around 0.1ppt below the baseline in 2027.

New Zealand is more exposed in both scenarios, with food and energy a larger share of its CPI and no offsetting energy exports. Headline inflation is around 1ppt higher in the escalation scenario in Q1 2027.

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